TOPIC 1 · THE GLOBAL ECONOMY

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5 November 2026

US voters say no to data centres in their backyard

> Alongside the Congress result, US voters rejected almost every local ballot measure on building data centres. It shows growing worry about the energy, water and land costs of the AI boom, and the ABC framed it as a warning for Australia.

WHAT HAPPENED

- About 41 data-centre ballot measures were held across 10 US states, and all but one were heading for defeat.
- An NBC exit poll found three-quarters of voters opposed a data centre in their own community.
- Meta's president said building new data centres in the US will now be very hard.
- In Australia on the same day, NextDC shares jumped about 48% after a Goodman-backed group bought a stake of up to 9.9% at $9.50 a share.
- Australia is also seeing local backlash and new state and federal rules for data centres.

~41
Data-centre ballot measures across 10 US states

3 in 4
Voters opposed a data centre in their own community (NBC exit poll)

+48%
NextDC share price jump on 5 November

Negative externality: a cost borne by third parties that isn't reflected in the market price

Social licence: community acceptance a project needs to proceed in practice

WINNERS AND LOSERS

The trade-off in the AI investment boom

Costs raised by voters

- **Electricity demand** pushes up power prices for households
- **Water and land use**, plus noise, in local communities
- **Emissions** if the extra demand is met with fossil fuels

Benefits claimed by investors

- **Investment spending** adds to AD and GDP
- **Productivity gains** from AI shift LRAS outward
- **Jobs and tax revenue** in construction and operation

Exam angle: Use this as an example of **market failure**: the private benefits of a data centre are counted, but the costs to neighbours and the grid often aren't. Link it to policies such as pricing, regulation or renewable-supply conditions.

SYLLABUS LINK

Topic 1 – Global environmental issues and the effects of globalisation; Topic 3 – Environmental sustainability and externalities.

TRY THIS

1. Identify one negative externality of data centres and explain a policy that could correct it. **(4 marks)**
2. Explain how data-centre investment can affect both aggregate demand and aggregate supply. **(4 marks)**

Read more: abc.net.au/news/2026-11-05/asx-markets-business-live-news-november-5-2026/107347286 · AFR – Wesfarmers, Telstra, BHP urge government to move fast on AI (6 Nov)

Summary written in our own words for classroom use